SOURCEBOOK

COBS Conduct of Business Sourcebook

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CHAPTER

COBS 10A Appropriateness (for non-advised services) (MiFID and insurance-based investment products provisions)

Section : COBS 10A.1 Application

COBS 10A.1.1 R

This chapter applies to a *firm* which:

(1) provides *investment services* in the course of *MiFID or equivalent third country business*; or

(2) carries on *insurance distribution* in relation to *insurance-based investment product*,

other than when the *firm* makes a *personal recommendation*, is *providing targeted support* or carries out *portfolio management*.

COBS 10A.1.2 R

This chapter applies to a *firm* which assesses appropriateness on behalf of a *MiFID investment firm* so that the other *firm* may rely on the assessment under *COBS 2.4.4R* (Reliance on other investment firms: *MiFID* and equivalent business).

Application to services in relation to insurance-based investment products

COBS 10A.1.5 R

The only *rules* in this chapter which apply to a *firm* when carrying on *insurance distribution* in relation to an *insurance-based investment product* are:

(1) those which implemented the *IDD*; and

(2) those which are derived from the *IDD Regulation*.

COBS 10A.1.6 G

For the purposes of *COBS 10A.1.5R*, if a *rule*implemented a requirement of the *IDD* or is derived from the *IDD Regulation*, a note ("**Note:**") to that effect follows the relevant *rule*.

Section : COBS 10A.2 Assessing appropriateness: the obligations

COBS 10A.2.1 R A *firm* must ask the *client* to provide information regarding that *client's* knowledge and experience in the investment field relevant to the specific type of product or service offered or demanded to enable the *firm* to assess whether the service or product envisaged is appropriate for the *client*.
[**Note:** article 25(3) of *MIFID*, first paragraph of article 30(2) of the *IDD*]

COBS 10A.2.1A G A *firm* carrying on *insurance distribution* is also required to comply with the requirements in *COBS 7.3* (additional insurance distribution obligations: demands and needs).
[**Note:** first paragraph of article 30(2) of the *IDD*]

Bundled packages: MiFID business and insurance-based investment products

COBS 10A.2.2 R Where a bundle of services or products is envisaged pursuant to *COBS 6.1ZA.16R* (for MiFID business) or *COBS 6.1ZA.16AR* to *COBS 6.1ZA.16E* (for *insurance-based investment products*), the assessment made pursuant to *COBS 10A.2.1R* must consider whether the overall bundled package is appropriate.
[**Note:** article 25(3) of *MiFID*, first paragraph of article 30(2) of the *IDD*]

Assessing a client's knowledge and experience: MiFID business

COBS 10A.2.3 R (1) When assessing appropriateness, a *firm*must determine whether the *client*has the necessary experience and knowledge in order to understand the risks involved in relation to the product or *investment service* offered or demanded.
(2) A *firm*may assume that a *professional client* has the necessary experience and knowledge in order to understand the risks involved in relation to those particular *investment services* or transactions, or types of transaction or product, for which they are classified as a *professional client*.

Assessing a client's knowledge and experience: insurance-based investment product

COBS 10A.2.3A R Without prejudice to the fact that, in accordance with *COBS 7.3.4R*, any *insurance-based investment product* proposed must be consistent with the *client's* demands and needs, a *firm* must determine whether the *client* has the necessary knowledge and experience in order to understand the risks involved in relation to the service or *insurance-based investment product* proposed or demanded when assessing whether an insurance service or insurance-based investment product distributed in accordance with *COBS 10A.2.1R* and *COBS 10A.2.2R* is appropriate for the *client*.
[**Note**: article 15 of the *IDD Regulation*]

Information regarding a client's knowledge and experience: MiFID business

COBS 10A.2.4 R For the purposes of *COBS 10A.2.1R* the information regarding a *client's* knowledge and experience in the investment field must include, to the extent appropriate to the nature of the *client*, the nature and extent of the service to be provided and the type of product or transaction envisaged, including their complexity and the risks involved, information on:

(1) the types of service, transaction and *financial instrument* with which the *client* is familiar;

(2) the nature, volume and frequency of the *client's* transactions in *financial instruments* and the period over which they have been carried out; and

(3) the level of education and profession or relevant former profession of the *client*.

Information regarding a client's knowledge and experience: insurance-based investment products

COBS 10A.2.4A R

(1) For the purposes of *COBS 10A.2.1R* and *COBS 10A.2.2R* in relation to *insurance-based investment products*, the necessary information to be obtained by a *firm* with regard to the *client's* knowledge and experience in the relevant investment field must include, where relevant, the following, to the extent appropriate to the nature of the *client*, and the nature and type of *insurance-based investment product* or service offered or demanded, including their complexity and the risks involved:

(a) the types of service, transaction, *insurance-based investment product* or *financial instrument* with which the *client* is familiar;

(b) the nature, number, value and frequency of the *client's* transactions in *insurance-based investment products* or *financial instruments* and the period over which they have been carried out;

(c) the level of education, and profession or relevant former profession of the *client*.

(2) Where information required for the purposes of *COBS 10A.2.1R* and *COBS 10A.2.2R* has already been obtained for the purposes of *COBS 7.3.4R*, a *firm* must not request information it already has anew from the *client*.

[**Note**: article 17(1) and (3) of the *IDD Regulation*]

Discouraging the provision of information: MiFID business

COBS 10A.2.5 R

A *firm*must not encourage a *client*not to provide information required for the purposes of *COBS 10A.2.1R*.

Discouraging the provision of information: insurance-based investment products

COBS 10A.2.5A R

In relation to an *insurance-based investment product*, a *firm* must not discourage a *client* from providing information required for the purposes of *COBS 10A.2.1R* and *COBS 10A.2.2R*.
[**Note**: article 17(2) of the *IDD Regulation*]

Reliance on information: MiFID business

COBS 10A.2.6 R

A *firm* is entitled to rely on the information provided by a *client* unless it is aware or ought to be aware that the information is manifestly out of date, inaccurate or incomplete.

Reliance on information: insurance-based investment products

COBS 10A.2.6A R

In relation to an *insurance-based investment product*, a *firm* may rely on the information provided by the *client* unless it is aware or ought to be aware that the information is manifestly out of date, inaccurate or incomplete.
[**Note**: article 17(4) of the *IDD Regulation*]

Use of existing information: MiFID business and insurance-based investment products

COBS 10A.2.7 G

When assessing appropriateness, a *firm* may use information it already has in its possession.

Knowledge and experience: MiFID business and insurance-based investment products

COBS 10A.2.8 G

Depending on the circumstances, a *firm* may be satisfied that the *client's* knowledge alone is sufficient for them to understand the risks involved in a product or service. Where reasonable, a *firm* may infer knowledge from experience.

COBS 10A.2.9 G

If, before assessing appropriateness, a *firm* seeks to increase the *client's* level of understanding of a service or product by providing information to them, relevant considerations are likely to include the nature and complexity of the information and the *client's* existing level of understanding.

No duty to communicate firm's assessment of knowledge and experience: MiFID business and insurance-based investment products

COBS 10A.2.10 G

If a *firm* is satisfied that the *client* has the necessary experience and knowledge in order to understand the risks involved in relation to the product or service, there is no duty to communicate this to the *client*. If the *firm* does so, it must not do so in a way that amounts to making a *personal recommendation* unless it complies with the *rules* in *COBS 9A* (MiFID and insurance-based investment products provisions).

Restricted mass market investments

COBS 10A.2.11 G

When determining whether a *client* has the necessary knowledge to understand the risks involved in relation to a *restricted mass market investment*, a *firm* should consider asking the *client* questions that cover, at least, the matters in *COBS 10 Annex 1G* in relation to *non-readily realisable securities* or *COBS 10 Annex 5G* in relation to *UK RIE cryptoasset exchange traded notes*.

Assessing appropriateness: units in long-term asset funds

COBS 10A.2.12 G

When determining whether a *client* has the necessary knowledge and experience to understand the risks involved in relation to a *unit* in a *long-term asset fund* (see *COBS 4.12A* (Promotion of restricted mass market investments)), a *firm* should consider asking the *client* questions that cover, at least, the matters in *COBS 10 Annex 3G* (Assessing appropriateness: units in a long-term asset fund).

Section : COBS 10A.3 Warning the client

COBS 10A.3.1 R

(1) If a *firm* considers, on the basis of information received to enable it to assess appropriateness, that the product or service is not appropriate for the *client*, the *firm* must warn the *client*.

(2) This warning may be provided in a standardised format.

[**Note:** article 25(3) of *MiFID*, second paragraph of article 30(2) of the *IDD*]

COBS 10A.3.2 R

(1) If the *client* does not provide the information to enable the *firm* to assess appropriateness, or if the *client* provides insufficient information regarding their knowledge and experience, the *firm* must warn the *client* that the *firm* is not in a position to determine whether the service or product envisaged is appropriate for the *client*.

(2) This warning may be provided in a standardised format.

[**Note:** article 25(3) of *MiFID*, third paragraph of article 30(2) of the *IDD*]

COBS 10A.3.3 G

If a *client* asks a *firm* to go ahead with a transaction, despite being given a warning by the *firm*, it is for the *firm* to consider whether to do so having regard to the circumstances.

Section : COBS 10A.4 Assessing appropriateness: when it need not be done due to type of investment

COBS 10A.4.1 R

(1)

A *firm* is not required to ask its *client* to provide information or assess appropriateness if either (a) or (aa), and both (b) and (c), are met:

1. (a) the service:
    1. (i)

       only consists of execution or reception and transmission of *client* orders, with or without *ancillary services*, excluding *ancillary service* (2) in section B of Annex I to *MiFID* (granting of credits or loans), where the relevant credits or loans do not comprise existing credit limits of loans, current accounts and overdraft facilities of *clients*;
    2. (ii) relates to particular *financial instruments* (see paragraph (2)); and
    3. (iii) is provided at the initiative of the *client*; or
2. (aa) the *insurance distribution* activity:

    (i) relates to particular types of *insurance-based investment products* (see (2A)); and

    (ii) is carried out at the initiative of the *client*; and
3. (b)

   the *client* has been clearly informed (whether in a standardised format or not) that, in the provision of the service or *insurance distribution* activity, the *firm* is not required to assess the appropriateness of the *financial instrument* or service or *insurance-based investment product* provided or offered and that therefore the *client* does not benefit from the protection of the *rules* on assessing appropriateness; and
4. (c) the *firm* complies with its obligations in relation to conflicts of interest.

(2) The *financial instruments* referred to in (1)(a)(ii) are any of the following:

(a) shares in companies admitted to trading on:

1. (i) a *regulated market* or an *EU regulated market*; or
2. (ii) an equivalent third country market; or
3. (iii) an *MTF*,

except shares that embed a derivative and *units* in a collective investment undertaking that is not a *UCITS*; or

(b) bonds or other forms of securitised debt admitted to trading on:

(i) a *regulated market* or an *EU regulated market*; or

(ii) an equivalent third country market; or

(iii) an *MTF*,

except those that embed a derivative or incorporate a structure which makes it difficult for the *client* to understand the risk involved; or

(c)

money-market instruments, excluding those that embed a derivative or incorporate a structure which makes it difficult for the *client* to understand the risk involved; or

(d) shares or *units* in a *UCITS*, excluding *structured UCITS*; or

(e)

structured deposits, excluding those that incorporate a structure which makes it difficult for the *client* to understand the risk of return or the cost of exiting the product before term; or

(f) other non-complex *financial instruments*.

(2A) The *insurance-based investment products* referred to in (1)(aa) are:

(a)

insurance-based investment products which only provide investment exposure to *financial instruments* referred to in (2) and do not incorporate a structure which makes it difficult for the *client* to understand the risks involved; or

(b) other non-complex *insurance-based investment products*.

(3)

For the purposes of this *rule*, a third country market is considered to be equivalent to a *regulated market* if it is a market in relation to which the Treasury has adopted an affirmative equivalence decision in accordance with the requirements and procedure in paragraph 8 of Part 1 of Schedule 3 to *MiFIR*.

[**Note:** article 25(4) of *MIFID*, article 30(3) of the *IDD*]

[**Note:** *ESMA* has published guidelines which specify criteria for the assessment of (i) debt instruments incorporating a structure which makes it difficult for the client to understand the risk involved, and (ii) structured deposits incorporating a structure which makes it difficult for the client to understand the risk of return or the cost of exiting the product before term (see ESMA/2015/1787 (EN), 4 February 2016).]

[**Note:** *EIOPA* has published guidelines under the *IDD* which specify criteria for the assessment of insurance-based investment products that incorporate a structure which makes it difficult for the customer to understand the risk involved (see EIOPA-17/651, 4 October 2017).]

COBS 10A.4.1A R

For the purposes of *COBS 10A.4.1(2)(b)*, a *plain vanilla listed bond* issued by an *ESCC issuer* or *ESCC subsidiary* that includes a call option allowing the *issuer* to redeem a *debt security* early at a price higher than or equal to par, and where:

(1) the option is exercisable otherwise than in response to fluctuations, price movements or performance of an index, benchmark, specified asset or underlying asset; and

(2) the mechanism to calculate the cash repayment amount is made clear to the investor in the terms of the *debt security*,

does not mean that the *plain vanilla listed bond* embeds a derivative or incorporates a structure which makes it difficult for the *client* to understand the risk involved.

Other non-complex financial instruments

COBS 10A.4.2 R

A *financial instrument* is non-complex for the purposes of *COBS 10A.4.1R(2)(f)* if it satisfies the following criteria:

(1) it is not:

1. (a)

a *financial instrument* covered by paragraphs 4 to 11 of Part 1 of Schedule 2 to the *Regulated Activities Order*; or

2. (b)

a security giving the right to acquire or sell a *transferable security*or giving rise to a cash settlement determined by reference to*transferable securities*, currencies, interest rates or yields, *commodities* or other indices or measures;

(2) there are frequent opportunities to dispose of, redeem, or otherwise realise that instrument at prices that are publicly available to market participants and that are either market prices or prices made available, or validated, by valuation systems independent of the issuer;

(3) it does not involve any actual or potential liability for the *client* that exceeds the cost of acquiring the instrument;

(4) it does not incorporate a clause, condition or trigger that could fundamentally alter the nature or risk of the *financial instrument* or pay out profile, such as *financial instrument* that incorporates a right to convert it into a different investment;

(5) it does not include any explicit or implicit exit charges that have the effect of making the *financial instrument*illiquid even though there are technically frequent opportunities to dispose of, redeem or otherwise realise it; and

(6) adequately comprehensive information on its characteristics is publicly available and is likely to be readily understood so as to enable the average *retail client* to make an informed judgment as to whether to enter into a transaction in that instrument.

COBS 10A.4.2A G

As explained in *COBS 4.12A.33G*, *COBS 10A.4* is not relevant for the purpose of complying with the *rules* requiring an appropriateness assessment under *COBS 4.12A* in relation to *restricted mass market investments*.

Other non-complex insurance-based investment products

COBS 10A.4.3 R

An *insurance-based investment product* may be considered as non-complex for the purposes of *COBS 10A.4.1R* where it satisfies all of the following criteria:

(1) it includes a contractually guaranteed minimum maturity value which is at least the amount paid by the *client* after deduction of legitimate costs;

(2) it does not incorporate a clause, condition or trigger that allows the insurance undertaking to materially alter the nature, risk, or pay-out profile of the *insurance-based investment product*;

(3) it provides options to surrender or otherwise realise the *insurance-based investment product* at a value that is available to the *client*;

(4) it does not include any explicit or implicit charges which have the effect that, even though there are technically options to surrender or otherwise realise *insurance-based investment product*, doing so may cause unreasonable detriment to the *client* because the charges are disproportionate to the cost to the insurance undertaking;

(5) it does not in any other way incorporate a structure which makes it difficult for the *client* to understand the risks involved.

[**Note**: article 16 of the *IDD Regulation*]

Section : COBS 10A.5 Assessing appropriateness: guidance

The initiative of the client: MiFID business and insurance-based investment products

COBS 10A.5.1 G

A service should be considered to be provided, or carried out, at the initiative of a *client* (see *COBS 10A.4.1R(1)(a)(iii)* and (aa)(ii)), unless the *client* demands it in response to a personalised communication from or on behalf of the *firm* to that *client* which contains an invitation or is intended to influence the *client* in respect of a specific *financial instrument financial instrument*, *insurance-based investment product* or specific transaction.
[**Note:** recital 85 to *MIFID*]

COBS 10A.5.2 G

A service can be considered to be provided, or carried out, at the initiative of a *client* notwithstanding that the *client* demands it on the basis of any communication containing a promotion for, or offer of, *financial instruments* or *insurance-based investment products* made by any means and that by its very nature is general and addressed to the public or a larger group or category of *clients*.
[**Note:** recital 85 to *MIFID*]

Personalised communications: MiFID business and insurance-based investment products

COBS 10A.5.3 G

(1) Communications to the world at large, such as those in newspapers or in billboards, are likely to be by their very nature general and therefore not personalised communications.

(2) Communications addressed to a *client* (such as, for example, an email, telephone call or letter), may or may not be personalised depending on the content.

(3) A communication is not personalised solely because it contains the name and address of the *client* or because a mailing list has been filtered.

(4) If a *firm* is satisfied that a communication does not contain any personalised content, it may wish to make clear that it does not intend the communication to be personalised and that the personal circumstances of the recipient have not been taken into account.

Section : COBS 10A.6 Assessing appropriateness: when a firm need not assess appropriateness due to suitability assessment

COBS 10A.6.1 G

A *firm* need not assess appropriateness if it is receiving or transmitting an order or carrying on *insurance distribution* in relation to an *insurance-based investment product*, for which it has assessed suitability under *COBS 9A* (Suitability (MiFID and insurance-based investment products provisions)) or it has assessed suitability under *COBS 9B* (Targeted support).

COBS 10A.6.2 G

A *firm* may not need to assess appropriateness if it is able to rely on a recommendation made by an *investment firm* (see *COBS 2.4.5G* (Reliance on other investment firms: MiFID and equivalent business)) or, in relation to an *insurance-based investment product*, made by an *insurance distributor* (see *COBS 2.4.5AR* (Reliance on other insurance distributors)).

Section : COBS 10A.7 Record keeping and retention periods for appropriateness records

COBS 10A.7.1 G

A *firm* is required to keep orderly records of its business and internal organisation, including all services and transactions undertaken by it. The records may be expected to include the *client* information a *firm* obtains to assess appropriateness and should be adequate to indicate what the assessment was.

Record keeping: MiFID business

COBS 10A.7.2 R

(1) A *firm*must maintain records of the appropriateness assessments it undertakes.

(2) The records maintains under (1) must include:

1. (a) the result of the appropriateness assessment
2. (b) any warning given to a *client*:
   1. (i)
      that an *investment service* or product had been assessed as potentially inappropriate for them; or
   2. (ii)
      that the *client*did not provide sufficient information to enable the *firm*to undertake an appropriateness assessment;
3. (c)
   whether the *client*asked to proceed with a transaction despite being given a warning in (b); and
4. (d)
   if applicable, whether the *firm*accepted the *client's* request to proceed with a transaction despite being given a warning in (b).

Record keeping: insurance-based investment products

COBS 10A.7.2A R

(1) Without prejudice to the application the *General data protection regulation*, a *firm* must maintain records of the assessment of appropriateness undertaken in accordance with *COBS 10A.2.1R* and *COBS 10A.2.2R* in relation to an *insurance-based investment product*.

(2) The records maintained under (1) must include the information obtained from the *client* and any documents agreed with the *client*, including documents that set out the rights of the parties and the other terms on which the *firm* will provide services to the *client*.

(3) The records in (1) must be retained for at least the duration of the relationship between the *firm* and the *client*.

(4) The record in (1) must also include the following:

(a) the result of the appropriateness assessment;

(b) any warning given to the *client* where the *insurance-based investment product* was assessed as potentially inappropriate for the *client*, whether the *client* asked to proceed with concluding the *policy* despite the warning and, where applicable, whether the *firm* accepted the *client's* request to proceed with concluding the *policy*;

(c) any warning given to the *client* where the *client* did not provide sufficient information to enable the *firm* to assess the appropriateness of the *insurance-based investment product*, whether the *client* asked to proceed with concluding the *policy* despite the warning and, where applicable, whether the *firm* accepted the *client's* request to proceed with concluding the *policy*.

[**Note**: article 19(1) and (3) of the *IDD Regulation*]

Record keeping: MiFID business and insurance-based investment products

COBS 10A.7.3 G A *firm* should refer to *SYSC 3.3* (for *insurers* and *managing agents*) and *SYSC 9* (for other *firms*) for its obligations in relation to record keeping. These provisions require records kept for the purposes of this chapter to be retained for a period of at least five years.